

Capital Partner FAQ

Straight answers to the questions capital partners ask most.

THE STRUCTURE, IN ONE PARAGRAPH

Lazy Dog makes one loan to the borrower, secured by one first-lien deed of trust recorded against one identified Texas property. You fund a share of that loan — 45% to 60% — and your security is a Collateral Assignment of Note and Deed of Trust, recorded in the county real-property records the same day the loan closes. It gives you a first-priority claim on the note and the lien. In any payoff or foreclosure, you are paid before Lazy Dog is.

Figures throughout use our sample deal: a \$320,000 after-repair value, a \$256,000 first-lien loan, and a capital partner at the 55% tier — \$140,800 at 6.5%.

SECURITY & PRIORITY

1. What exactly secures my investment?

A recorded first-lien deed of trust on a specific Texas property — the same instrument a bank uses to secure a mortgage — together with a recorded Collateral Assignment of Note and Deed of Trust that gives you a first-priority claim on that note and that lien. You are not buying into a fund or a pool. Your capital is tied to one identified address, and your assignment is public record from the day the loan closes.

2. Why a collateral assignment instead of putting my name directly on the deed of trust?

Because it gives you the same priority with fewer moving parts. One note, one lien, one monthly payment from the borrower — no split lien to argue about, no second instrument that can record out of order, no question about whose foreclosure controls. Your assignment records alongside the deed of trust and expressly places your claim ahead of Lazy Dog's.

3. Am I really paid before Lazy Dog?

Yes — and it is written into every document. Proceeds from any payoff or foreclosure go first to foreclosure and closing costs, then to you for your capital plus accrued return, then to Lazy Dog's own capital, and last to the borrower's equity. Our own money sits behind yours on every loan we fund. That is by design. It is what keeps our underwriting honest.

4. What stops Lazy Dog from putting something ahead of me?

Your agreement prohibits us from subordinating your claim, further encumbering the note, or placing any interest ahead of yours without your prior written consent. The deed of trust is in first position against the property, and your assignment records at closing. Nothing recorded afterward moves ahead of it.



5. What if something happened to Lazy Dog?

The collateral assignment is not a promise — it is a recorded security interest. If Lazy Dog ever failed to remit what you are owed, the assignment gives you the right to collect from the borrower directly and to direct foreclosure of the first lien in your own right. Your recovery does not depend on our cooperation.

6. How much cushion sits beneath my position?

At closing, roughly \$59,200 of other people's cash sits beneath your \$140,800 — Lazy Dog's \$39,200 plus the borrower's \$20,000. By completion, our full \$115,200 is in the deal and the renovation has added value: about \$179,200 of cash and equity — 56% of the finished home's value — standing in front of your principal. You start protected, and you get more protected every week.

YOUR MONEY

7. When do I get paid, and how?

Monthly. Interest accrues on your full contribution from the day the loan funds and is paid within ten business days after each month ends, accompanied by a written statement showing your outstanding balance and the interest accrued. Your principal is returned in full when the loan pays off — by sale, refinance, or maturity, whichever comes first.

8. What if the borrower pays late — do I still get my monthly interest?

Yes. Your agreement obligates Lazy Dog to pay your monthly return on schedule regardless of whether the borrower has paid us. If a borrower is late, we advance your interest out of our own funds. Your monthly payment does not depend on the borrower's performance. Your principal remains secured by the property.

9. How is my interest rate determined?

By your share of the loan amount — nothing else. The larger your share, the higher your rate. The tier percentage always refers to your share of the loan amount, not the after-repair value and not the total project cost. Your dollar amount and your rate are stated in your agreement before you fund a cent.

10. What happens if the borrower pays off the loan early?

You receive your full principal plus all interest accrued through the payoff date, promptly, with no clawback of interest already paid to you. There is no prepayment penalty. Most successful flips pay off early — that is a good outcome: your capital comes back sooner and is available for the next deal.

11. What happens if the project runs past the maturity date?

Your interest keeps accruing until you are paid. The clock does not stop at maturity. The borrower's note steps up to an 18% default rate past maturity, which gives them a strong incentive to resolve quickly and gives us leverage to force a resolution: payoff, an extension on terms we approve, or foreclosure. If the loan goes to foreclosure, repayment of your capital extends until the property is sold — there is no fixed outer date — and your accrued return is paid in full from the sale proceeds.

12. Are any fees taken out of my return?

None. Ever. Every fee in the deal — origination points, the administrative fee, the interest spread — is paid by the borrower, not by you. Your rate is your rate: the gross return on your statement is your net return before taxes.

13. Can I roll my capital into the next deal?

Yes, and most partners do. Each deal is a separate agreement on a separate property, so at payoff your principal returns to you and you decide whether to deploy it again. There is no automatic reinvestment, no rollover clause, and no lockup beyond the life of the loan you funded.





THE DEALS

14. How do you vet borrowers and properties?

We underwrite as operators, not spreadsheet lenders. Lewis brings 23 years and 800+ transactions across private loans, flips, construction, rehabs, and remodels; Steve brings 13+ years as a real estate investor. We verify the rehab budget and the comparable sales ourselves. Every borrower puts 10% of the purchase price down in cash. The final filter is the strongest one: we put our own money into every deal, behind yours. We do not fund a project we would not be willing to take over and finish ourselves.

15. How is the loan amount actually set?

80% of the after-repair value. That one number sets the loan. In the sample deal: $0.80 \times \$320,000 = \$256,000$. Sizing against the finished value rather than what the borrower paid builds a 20% equity cushion into every project before anyone's money is at risk.

16. Why is every loan capped at 80% of ARV?

It builds a 20% equity cushion into the finished value of every project before anyone's money is at risk. Stacked with the borrower's cash down payment and Lazy Dog's own capital sitting behind you, a property has to underperform dramatically before your first-priority principal is ever touched.

17. What is the construction holdback, and how does it release?

The holdback is the portion of the loan not disbursed at closing — in the sample deal, \$76,000. It funds the renovation, and it works on reimbursement: the borrower pays for completed work out of pocket, shows us a bank statement proving the money left their account, and one of us inspects the work in person before we release a dollar. There is no fixed number of draws. Money enters the property only after value has been added, which is precisely why your cushion grows every week of the project.

18. Does Lazy Dog have its own money in every deal?

Yes — every single one. Lewis and Steve fund the closing gap and the entire construction holdback out of their own capital, in the position behind yours. We never ask a partner to take a risk we have not taken first.

19. Can I choose which deals I participate in?

Yes. Each Capital Partner Agreement covers one specific property. Before you commit a dollar you see the deal itself — the purchase price, the rehab budget, the after-repair value, and the full loan structure. There are no blind pools and no discretionary funds. If a deal doesn't fit you, you pass and wait for the next one.

20. How long is my money tied up?

Notes are written on a nine-month term. Most projects run seven to nine months from purchase to sale, and many pay off early — with no penalty and no reduction in the interest already paid to you. Your principal is committed until the loan pays off, so this should be capital you do not need liquid during that period.

IF SOMETHING GOES WRONG

21. What happens if the borrower stops paying?

The borrower receives written notice and ten days to cure. If the default is not cured, we accelerate and foreclose. Two things to know: your interest keeps accruing at your contracted rate through the entire process — a default never pauses your return — and Texas is one of the fastest non-judicial foreclosure states in the country, typically 45 to 60 days start to finish.





22. Who manages a foreclosure, and who pays for it?

Lazy Dog manages it start to finish, at no out-of-pocket cost to you. Foreclosure costs are recovered from sale proceeds before any distribution, and your interest continues accruing at your contracted rate the entire time. You are never asked to fund a legal budget or chase a borrower.

23. What happens to the property after a foreclosure?

This is where we differ from a typical lender. Lewis and Steve are not paper lenders. Between them they own a repair company and a property management company, with decades of flip and construction experience. If we take a property back, our own crews finish the rehab — and we either sell the completed home or move it into our property management company as a rental. A default doesn't strand the project. It just changes who finishes it.

24. What if the property sells for less than expected?

You are paid first. Proceeds go to foreclosure costs, then to your principal and accrued interest, then to Lazy Dog's capital, then to the borrower's equity. As the stress test shows, the sample property would have to sell for roughly half its finished value before your principal takes its first dollar of loss. Values can decline and recoveries can fall short of expectations — the structure is built so that other people's money is what absorbs it.

25. Has Lazy Dog ever had a borrower default?

No — Lazy Dog Capital has never had a borrower default. Past performance does not guarantee future results, and we underwrite every deal as though a default is coming. That is exactly what the 80% ARV cap, the 10% cash down payment, and our own capital behind yours are for.

PAPERWORK, LOGISTICS & TAXES

26. What documents will I see, and when?

Before you fund: the Capital Partner Agreement for that specific property, the borrower's promissory note, the first-lien deed of trust, and the Collateral Assignment of Note and Deed of Trust. After closing: the recorded instruments, together with their county recording information. You are welcome to have your own attorney review all of it.

27. When do I wire my funds, and to whom?

It depends on when you come into the deal. If you fund before closing, your contribution is due no later than 24 hours before closing and wires directly to the title company handling the closing — so your money moves once, lands in escrow, and never sits in an operating account. If you come into a loan Lazy Dog has already funded, you wire to us as reimbursement, and your collateral assignment records once your funds arrive. Either way we call you to verify the wire details by phone before anything moves.

28. How do I know my assignment was actually recorded?

On a pre-closing deal, the title company records the deed of trust and your collateral assignment as part of the closing itself. On a post-closing assignment, we record it as soon as your funds land. Lazy Dog delivers the county instrument numbers to you within one week of recording, and they are entered on Exhibit A to your agreement. You can verify them yourself in the county real-property records.

29. What reporting will I receive during the loan?

A monthly written statement covering your outstanding balance, interest paid, any principal received, any default or delinquency, and the estimated payoff date. You also have the right to review the promissory note and deed of trust securing the loan, and to receive updates on the borrower's compliance with the loan covenants.





30. How are my returns taxed?

Interest income is generally taxed as ordinary income in the year you receive it. You will receive a Form 1099-INT each January for the return paid during the prior year. All figures in our materials are shown before taxes. We are not tax advisors — please consult your own CPA about your specific situation.

RATE TIERS — SHARE OF THE LOAN

YOUR SHARE OF LOAN	YOU FUND	YOUR RATE	MONTHLY
45%	\$115,200	5.5%	\$528
50%	\$128,000	6.0%	\$640
55% · the sample deal	\$140,800	6.5%	\$763
60%	\$153,600	7.0%	\$896

Dollar figures shown against the sample deal's \$256,000 loan. Monthly interest is your contribution $\times$ your rate $\div$ 12.

IMPORTANT DISCLOSURES

This document is provided for discussion purposes only and is not an offer to sell or a solicitation of an offer to buy any security. Capital partner returns are secured by a recorded first-priority collateral assignment of a first-lien note and deed of trust on a specific Texas property; they are secured, not guaranteed. Real estate values can decline, borrowers can default, foreclosure timelines can vary, and foreclosure recoveries can be less than anticipated. Past performance, including the absence of prior defaults, is not a guarantee of future results. All figures are illustrative, based on representative deal terms, and are shown before taxes; interest income is generally taxed as ordinary income. Prospective capital partners should review all loan documents and consult their own legal, tax, and financial advisors before investing.

